

TIED IN RED TAPE

■ By Nivedita Mukherjee

It is probably India Inc's worst kept secret. Mega projects worth thousands of crores, announced with the grandeur of blockbusters amidst much fanfare and shaking of hands, are stuck. If the projects had been cleared, they would have added to steel and power output, countered inflationary pressures and created jobs.

No exaggeration. Business titans like Tatas, Essar's Ruia, Ambanis, as well as multinational giants such as Arcelor Mittal and Posco whose projects were expected to be onstream by 2009, are nowhere near even breaking the ground. According to the Ministry of Steel, 193 MOUs totalling Rs 5,14,000 lakh crore have been signed by steel companies with various states. Barring a few in the public sector and a few expansions, most are caught in the logjam of policy and politics.

Posco, with Rs 51,000-crore investment plan in Orissa, Tata Steel with Rs 15,400 crore in Orissa and Rs 42,000 crore in Jharkhand and Rs 16,000 crore in Chhattisgarh, Arcelor Mittal with Rs 40,000 crore each in Orissa and Jharkhand are still crawling across the clearances queues years after the MOUs were signed. Even after 15 years of economic liberalisation, it takes over 170 clearances to set up a steel project and 154 clearances to set up a power project. Part of the reason is also the fact that politicians like to create a buzz and celebrate their victory by signing MOUs but the tragedy is that the system and politics overtake them. Former Jharkhand chief minister Arjun Munda and Orissa Chief Minister Naveen Patnaik had announced a series of MOUs which haven't gone beyond the press release stage.

Investors though would rather not

PAST HANDSHAKES: (Clockwise from right) Ratan Tata with Munda; Patnaik with a Posco official; Anil Ambani with Mulayam Singh; Patnaik with Mittal

POSCO

STATE: ORISSA

PROJECT: 12 mt per annum steel plant

MoU signed in: June 2005

INVESTMENT: Rs 51,000 crore

EMPLOYMENT: 48,000

STATUS: YET TO PERFORM GROUND BREAKING CEREMONY

TATA STEEL

STATE: JHARKHAND

PROJECT: 12 mt per annum steel plant

MoU signed in: Sept 2005

INVESTMENT: Rs 42,000 crore

EMPLOYMENT:

42,000 (approx.)

STATUS: STUCK FOR LAND AND IRON ORE

